

OCR AS and A Level Economics (H060, H460) Topic Questions

Question Paper

Main Topic

Macroeconomics (Component 02)

Sub-Topic

The Financial Sector

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**To be used by all students and teachers for
OCR AS and A Level Economics (H060, H460)
for exams from 2025 onwards.**

Students and teachers of other boards may also find this useful

Name : _____

Date : _____

Time : _____

Total Marks Available : _____

Total Marks Received : _____

- 1 In 2014 a new term 'lowflation' was invented by Simon Kennedy of Bloomberg News. He defined it as a situation where prices are rising but not fast enough to provide the benefits delivered by higher inflation. A number of economists and economic institutions now use the term. The International Monetary Fund, for instance, employs the term to describe disinflation with a risk of deflation.
- 5

Lowflation may mean that inflation is below any target set by the government or central bank of a country. Table 1 shows the target rate for inflation, the inflation rate and the nominal interest rate of five countries in 2015.

Table 1 – Inflation target, inflation rate and interest rate for selected countries, 2015

Country	Inflation target (%)	Inflation rate (%)	Interest rate (%)
Mexico	3 +/- 1	2.6	6.1
Russia	4.5	15.3	10.2
South Africa	3 – 6	4.7	9.6
Turkey	5 +/- 2	7.6	11.1
UK	2 +/- 1	0.1	1.8

- The main policy tool used by central banks to keep inflation within target is the rate of interest.
- 10 In some circumstances, central banks use quantitative easing to inject money directly into the economy and to help firms find it easier and cheaper to borrow from a range of financial institutions. A possible effect of quantitative easing is to increase the amount of money in commercial banks and so banks' ability to lend. The Bank of England has also used forward guidance to influence expectations about future levels of interest rates.
- 15 As Table 1 shows the rate of inflation experienced varied between countries in 2015. A number of countries, including Japan, the UK and the USA experienced lowflation. There was concern in these countries that they might experience a deflationary spiral such as that shown in Fig. 1.

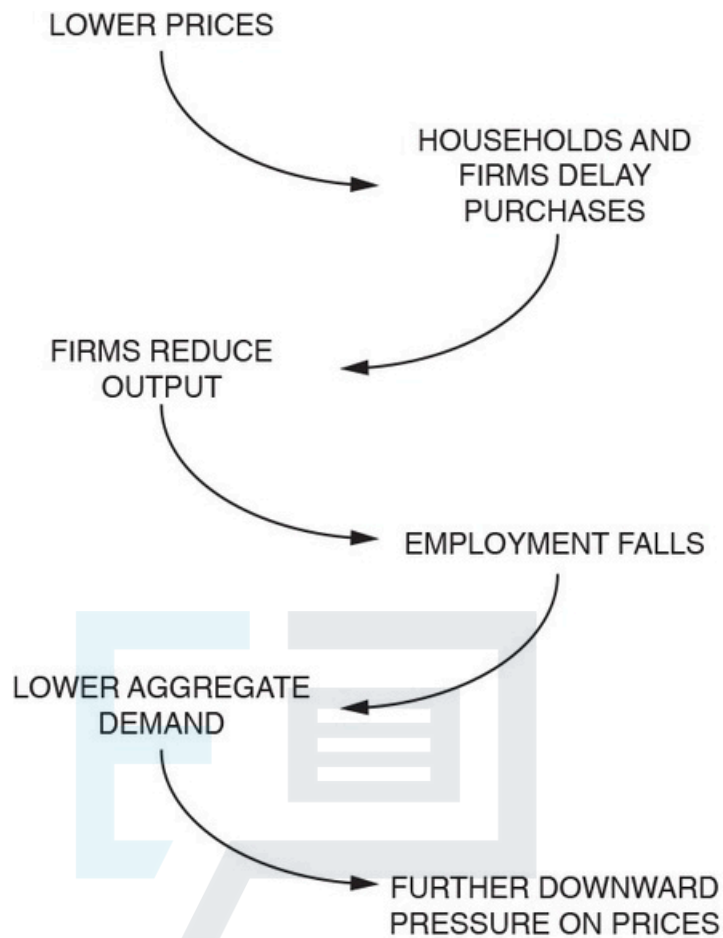


Fig. 1 – The deflationary spiral

Other countries experienced high inflation in 2015. A number of these were commodity exporters which were affected by the fall in the price of commodities which tend to have price inelastic demand. For instance, several oil exporting countries saw their price level rise as a result of the fall in the price of oil and the resulting impact this had on their exchange rates.

20

Inflation can have a number of effects on an economy. One of these is that it can redistribute income. Fig. 2 shows the Lorenz curves for three countries in 2014.

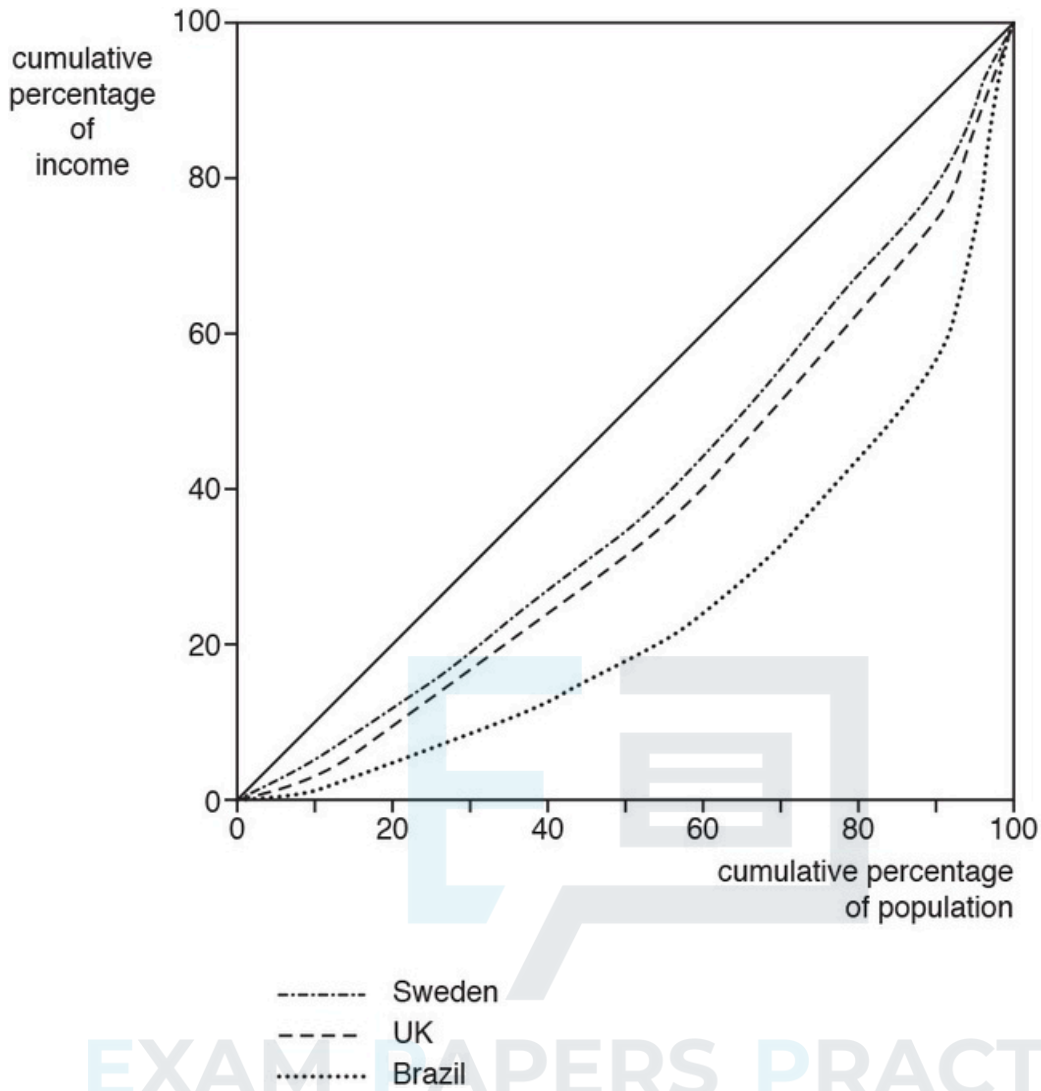


Fig. 2 – Lorenz curves for Brazil, Sweden and the UK, 2014

Please read the extract above or refer to insert H460-02 June 2017, Lowflation, which can be downloaded separately.

* Using Fig. 1, evaluate whether increasing the funds banks have available to lend will reverse a deflationary spiral.



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[12]

- 2 Which of the following is a function of the World Bank?
- A To encourage the removal of trade barriers
 - B To promote economic development
 - C To provide short term finance to help countries overcome balance of payments problems
 - D To stabilise exchange rates

Your answer

☐

[1]

- 3 Four women in Togo, a small republic in Sub-Saharan Africa, take out a loan of US\$500 to purchase supplies for a start-up cosmetics business. What is this an example of?
- A Debt relief
 - B Microfinance
 - C Overseas Development Assistance
 - D Remittances

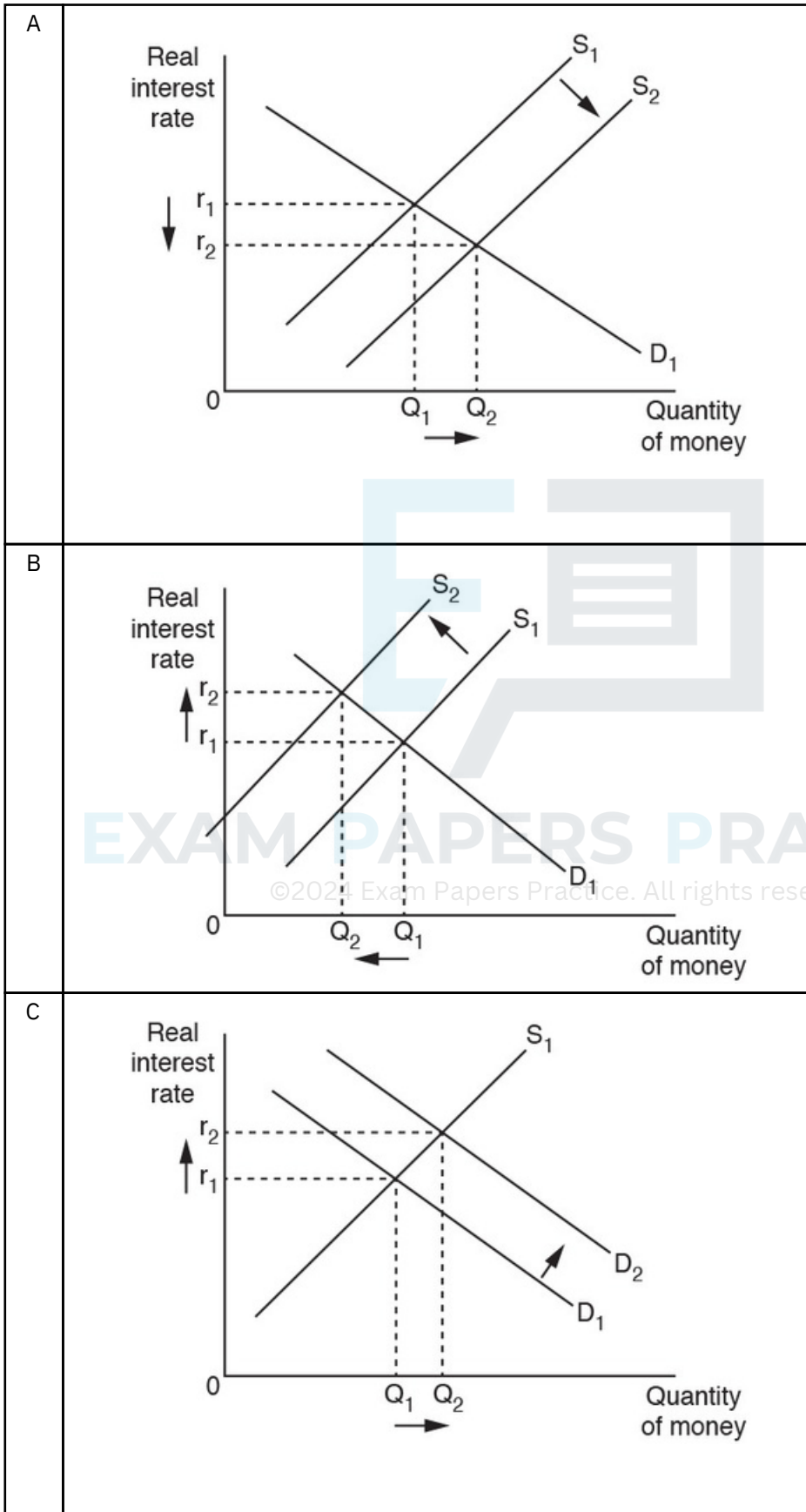
Your answer

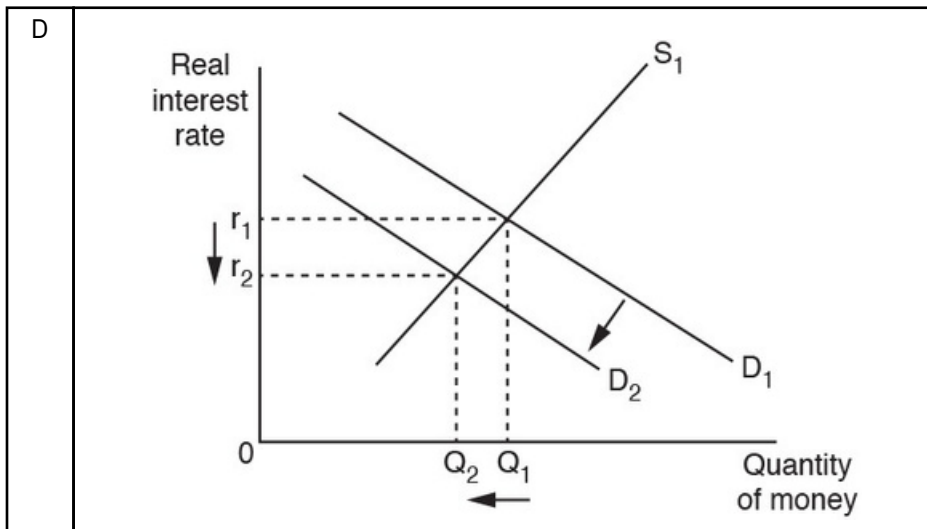
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[1]



- 4 The rate of corporation tax in the economy is set to increase. Which diagram shows the most likely impact on the market for loanable funds of this anticipated change?





Your answer

[1]

- 5 Using the Fisher equation of exchange, what is the money supply in an economy where real GDP is £400bn, the price level is 3 and the velocity of circulation of money is 4?

- A £300bn
- B £400bn
- C £533bn
- D £1200bn

n

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Your answer

[1]

- 6 In which of the following cases is the interest rate charged on borrowing likely to be lowest?

- A High risk and high security
- B High risk and low security
- C Low risk and high security
- D Low risk and low security

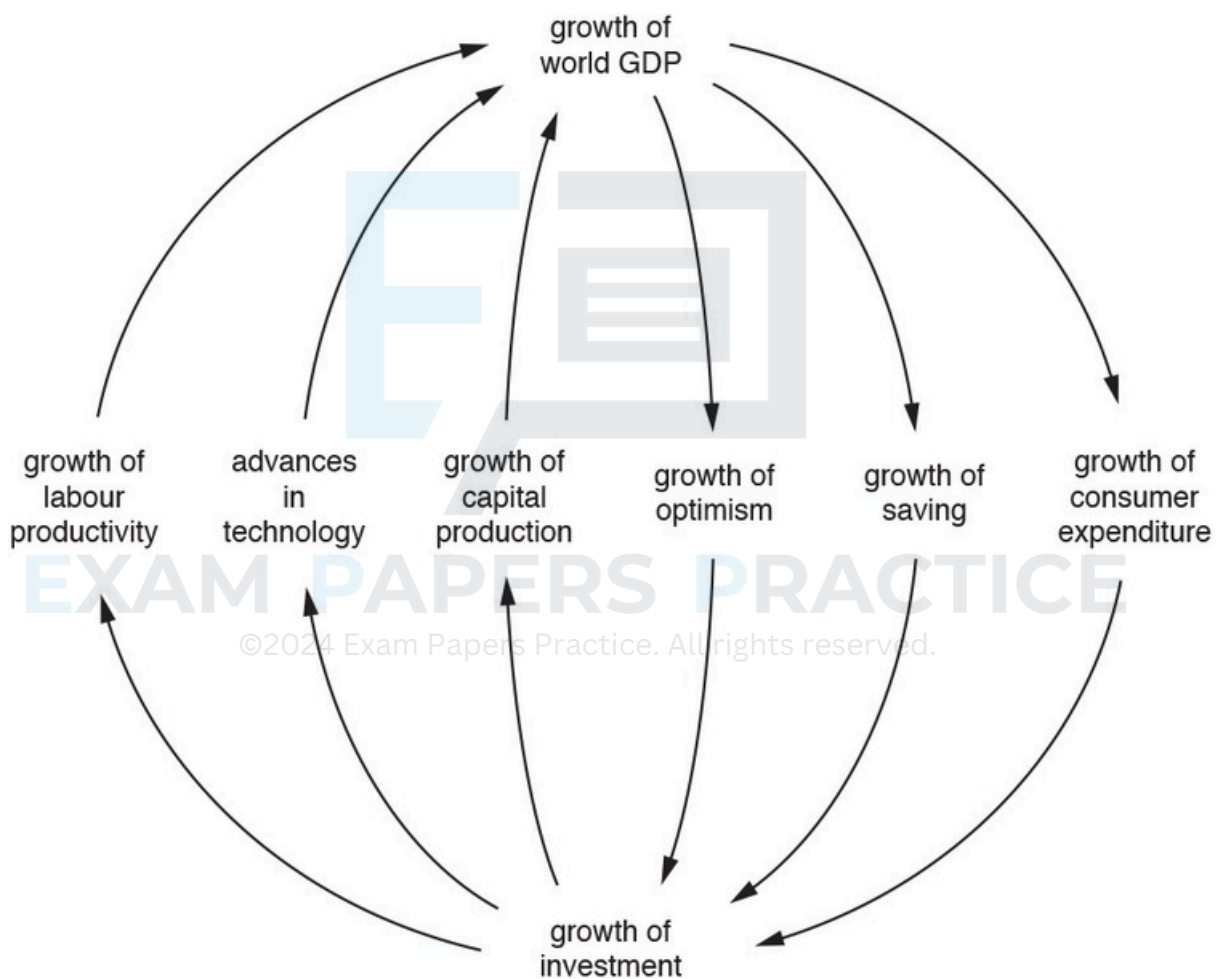
Your answer

[1]

Trade wars were threatening the process of globalisation in 2018 and were restricting the ability of countries to exploit their comparative advantage and their absolute advantage. In the years before, advances in production and communication technology had lowered production and transport costs, had increased the ability of firms to move production around the world and increased the size of firms' markets.

World trade increased by 3.2% in 2017. This contributed to a growth in world GDP. Higher GDP can result in a virtuous circle as shown in Fig. 1.

Figure 1 A virtuous circle



While the benefits of globalisation are widespread, the costs are often concentrated in particular areas and among those unskilled workers who are geographically and occupationally immobile.

- 10 One of the reasons why the US government imposed tariffs on steel imported from China was to protect the jobs of US steel workers.

Some economists are also concerned that globalisation can result in governments engaging in tax competition to keep firms and skilled workers in the country and to attract foreign MNCs and

foreign skilled workers into the country. Table 1 shows government tax revenue and expenditure
15 for selected countries in 2017.

Table 1 Government tax revenue and government expenditure 2017

Country	Government tax revenue (US\$ billion)	Government tax revenue as a % of GDP	Government expenditure (US\$ billion)
China	2672	22.4	3146
Germany	1598	43.8	1573
India	249	10.2	330
Ireland	85	26.2	87
Russia	254	17.3	288
UK USA	984	38.4	1076
	3336	22.0	3991

International competition may, on the other hand, encourage governments to spend more on education, training and health care to increase productivity and so attract foreign direct investment. Table 2 shows the corporate tax rates and the foreign direct investment attracted by the same selected countries.

Table 2 Corporate tax rates and foreign direct investment 2017

Country	Average corporate tax rate (%)	Foreign direct investment per head (US\$)
China	25.	1098
Germany	0	17 963
India	29.	287
Ireland	8	295 400
Russia	34.	3378
UK USA	6	30 852
	12.	12 489

20 The UK economy is more affected by changes in the global economy than the USA. This is
because it is a more open economy. The UK has a relatively high marginal propensity to import.
Between 2016 and 2017, average UK household income rose from £26 300 to £27 400 while
average household spending on imports rose from £4950 to £5280.

The growth of the emerging economies, including China and India, is having an impact on the UK.
25 For instance, Chinese steel firms have captured some of the UK's steel industry's market at home

and abroad. Indian MNCs produced more than £26 billion of goods and services in the UK in 2016 and employed more than 100 000 workers in the UK.

Please refer to insert H460-02 June 2019 which can be downloaded separately and is also included above. Explain how Fig. 1. illustrates the Harrod-Domar model.

[2]

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8 * In 2018 the UK Prime Minister said she would put financial services at the heart of a new trade deal with the EU.

Evaluate whether the UK financial sector makes a positive contribution to the UK economy.



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- 9 * The performance of Citigroup, one of the largest US retail banks, has recently improved. The bank had suffered huge losses during the financial crisis of 2008 and it had to be rescued by the US central bank and government.

Evaluate whether a central bank should ever allow a retail bank to fail.



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[25]

10 What is included in 'broad money' but is excluded from 'narrow money'?

- A Commercial banks' deposits at the Bank of England
- B Notes and coins in circulation
- C Retail deposits with financial institutions
- D Stocks and shares

Your answer

☐

[1]

11 Which of the following policy options is not available to a central bank?

- A Cutting marginal tax rates
- B Exchange rate adjustment
- C Increasing the interest rate
- D Quantitative easing

Your answer

☐

[1]

12 Some economists believe that under-regulation of financial institutions contributed to the 2008–9 financial crisis. What was a direct consequence resulting from this?

- A Abuse of monopoly power
- B Failure of liquidity
- C Double dip recession
- D Reduction in average propensity to consume

Your answer

[1]

13 * Please refer to insert H460-03 Practice 2 which can be downloaded separately and is included above with Question 27.

Evaluate the effectiveness of the World Bank in promoting economic growth and development.



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[15]

14 Which of the following represents a disadvantage of a central bank acting as the lender of last resort?

- A Contagion
- B High inflation
- C Liquidity crisis
- D Moral hazard

Your answer

☐

[1]

15 Since April 2013 the Financial Conduct Authority has been responsible for regulating financial institutions in the UK. Which of the following describes one outcome financial regulation is designed to achieve?

- A All individuals have access to cheap finance.
- B Banks have a sufficient capital adequacy ratio.
- C The profits of financial institutions are limited to an acceptable level.
- D There are not significant differences in the interest rates being charged on borrowing by different banks.

Your answer

☐

[1]

16 Which of the following is a policy measure available to a central bank?

- A Setting the basic rate of income tax
- B Setting the budget for government spending
- C Setting the national minimum wage
- D Setting the short term interest rate

Your answer

[1]

17 According to the Harrod–Domar model of growth, which of the following combinations is likely to result in the fastest rate of economic growth?

	Savings ratio	Capital–output ratio
A	High	High
B	High	Low
C	Low	High
D	Low	Low

Your answer

[1]

18 Which theory argues a high savings ratio is fundamental to achieving economic growth?

- A Harrod-Domar model
- B Heckscher-Ohlin model
- C Marshall-Lerner condition
- D Prebisch-Singer hypothesis

Your answer

[1]

19 * In 2015 the State Bank of Pakistan did not achieve the 5.5% target the government had set it for the growth of the Pakistani economy.

Evaluate whether the UK government should set the Bank of England an economic growth rate target.



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Evaluate whether the UK government should set the Bank of England an economic growth rate target.



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- 22 In 2008, Northern Rock was taken into state ownership, following a crisis in which customers queued outside branches in large numbers to withdraw their savings concerned they may not get their money back. What type of financial regulation would have reduced the risk of this?
- A Competition policy
 - B Quantitative easing
 - C Requiring banks to hold a higher proportion of deposits as liquid assets
 - D Reducing the central bank rate of interest

Your answer

[1]



Evaluate whether microfinance promotes economic development.

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24 Many developing nations face the problem of a poorly developed financial sector. This is partly because individuals are unwilling to save their money in financial institutions. Some are worried that the financial institutions may go bankrupt, which will result in them losing their savings. How can a central bank help to overcome this problem?

- Your answer

[1]

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